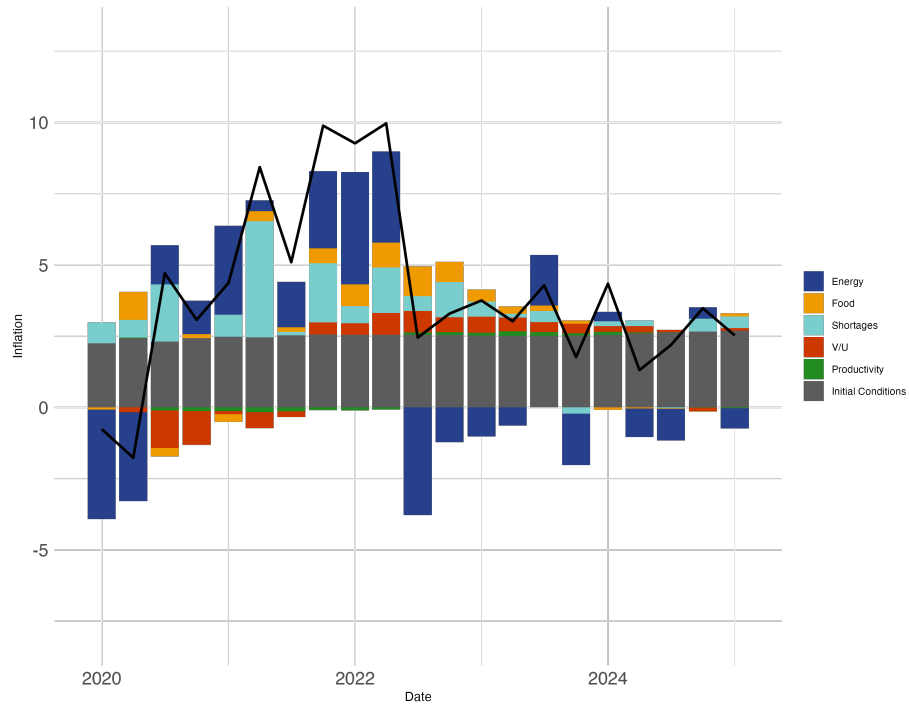
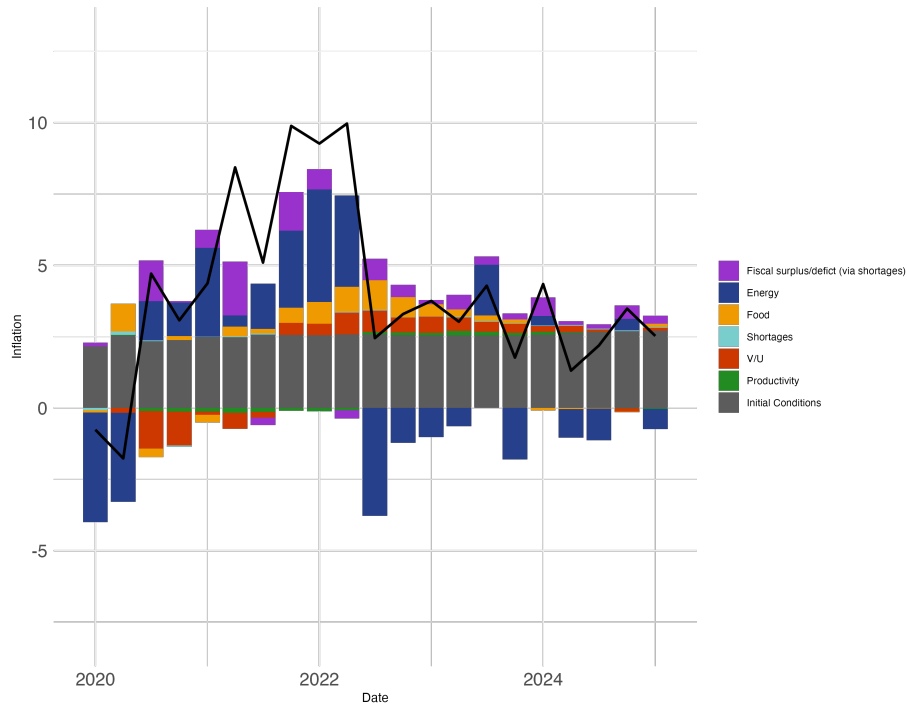




(A) Bernake and Blanchard



(B) Fiscal model

FIGURE 1: Historical decomposition of price inflation up to **2025Q1**. Replication of BB (panel A) and fiscal extension (panel B). Each bar represents the fully dynamic- both direct and indirect -contribution of each component to price and wage inflation. The black line represents the actual path of inflation. The difference between the bars and the actual values line represents model residuals.